



THE STATE UNIVERSITY OF ZANZIBAR
SCHOOL OF BUSINESS - SUZA

END OF SEMESTER EXAMINATION- JULY 2024

BACHELOR DEGREE IN INFORMATION TECHNOLOGY WITH ACCOUNTING EAR 1					
COURSE CODE:	BITA_Y1	SEMESTER:	II	ACADEMIC YEAR:	2024
SUBJECT CODE:	AF1203	TITLE:	Financial Accounting		
DATE:	Monday, 22 nd July 2024			TIME ALLOWED:	3 HRS

INSTRUCTIONS

1. This paper consists of **SIX (6)** questions. Answer any **FIVE** questions.
2. Marks are shown at the end of each question.
3. Budget your time properly.
4. Write the number of question you have attempted in the right hand side box of your booklet and in every space provided inside it in order (1, 2, 3...)
5. This per consist of **EIGHT (8)** Printed pages.
6. Support your answer with the appropriate authority (Legal Provisions or Case Law).
7. **DON'T WRITE ANYTHING IN THIS PAPER.**

Question 1

- a) With reference to IAS 16 (Property Plant and Equipment) explain the recognition criteria for Non-Current Asset.

(4 Marks)

- b) Entity holds a machinery that was bought for 12,000,000 few years back. To this date accumulated depreciation is 8,500,000. During the year, entity revalued all of its machinery. It is found that fair value of the machine is 15,000,000.

Required

Account for revaluation gain or loss of the machinery

(4 Marks)

- c) A business purchased two Rivet-making machines on 1 January 2020 at a cost of TZS15, 000,000 each. Each had an estimated life of five years and a nil residual value. The straight line method of depreciation is used.

- d) Owing to an unforeseen slump in market demand for rivets, the business decided to reduce its output of rivets, and switch to making other products instead. On 31 March 2022, one rivet-making machine was sold to a buyer for TZS8, 000,000.

Later in the year, however, it was decided to abandon production of rivets altogether, and the second machine was sold on 1 December 2022 for TZS2, 500,000 cash.

Required

Prepare for the Accounting year to 31 December 2022

- (i) Machinery account,
- (ii) Depreciation of machinery account
- (iii) Disposal of machinery account

(12 Marks)

[Total 20 Marks]

QUESTION 2

- a) Explain reasons behind incomplete records. (4 Marks)
- b) WING, a sole trader, has not been keeping a full set of accounts. The following figures relating to the business were supplied on 01/01/2016:

	TZS
Premises	460,000
Motor vehicles at book value	58,200
Furniture and equipment at cost	64,000
Accumulated depreciation on furniture and equipment	17,800
Insurance prepaid	900
Stock	65,400
Creditors	16,100
Expenses due	3,600
Debtors	29,000
Bank overdraft	7,300

WING also supplied the following additional information on 31/12/2016:

- (i) During the year TZS18, 000 was transferred from a personal bank account to the business bank account.
- (ii) During the year, WINGS had paid TZS8, 600 out of business funds for private house repairs and had also taken goods to the value of TZS500 per month for private use.

WING estimated that on 31/12/2016 the business assets and liabilities were TZS990, 000 and TZS92, 000 respectively, before allowing for the following:

- Depreciation on furniture and equipment at the rate of 20% of cost.
- Depreciation on motor vehicles at the rate of 10% of book value.
- Expenses due of TZS870.

12500
5000

Required

- (a) Prepare a statement showing WING's net worth/capital on 01/01/2016. (8 Marks)
- (b) Statement showing WING's profit or loss for the year ended 31/12/2016 (8 Marks)

[Total 20 Marks]

QUESTION 3

- a) Explain main sources of income for Non-Profit Organizations (5Marks)
 b) Included in the assets and liabilities of the Golf Club on 01/01/2016 were the following:

Club house TZS65,000,000; Land TZS29,000,000; Equipment TZS2,500,000;
 Investments TZS5,000,000; Bar stock TZS810,000; Bar creditors TZS380,000;
 Members' subscriptions prepaid TZS150,000; Cash in hand TZS360,000.

The following is a summary of the club's receipts and payments for the year 2016.

Receipts and Payments Account for the year ended 31/12/2016

Receipts	TZS	Payments	TZS
Cash in hand 01/01/2016	360,000	Club Lotto Prizes	2,800,000
Bar Sales	3,230,000	General Expenses	2,480,000
Subscriptions	6,240,000	Bar Purchases	2,860,000
Investment Interest	170,000	Purchase of Equipment	360,000
Club Lotto Receipts	5,800,000	Insurance	560,000
Annual Sponsorship	1,500,000	Cash Balance 31/12/2016	8,240,000
	<u>17,300,000</u>		<u>17,300,000</u>

The treasurer also supplied the following information as at 31/12/2016:

- (i) ✓ Bar stock was TZS920, 000.
 (ii) ✗ Bar creditors were TZS240, 000.
 (iii) ✓ Subscriptions due were TZS260, 000.
 (iv) ✓ General expenses due were TZS110, 000.
 (v) ✓ Equipment held on 31/12/2016 is to be depreciated by 20%.
 (vi) ✗ Depreciate the clubhouse by 2% of cost.

Required:

- (a) Statement showing the club's accumulated fund on 01/01/2016.
 (b) Bar trading account for the year ended 31/12/2016.
 (c) Club's Income and Expenditure account for the year ended 31/12/2016.

(15 Marks)
 [Total 20 Marks]

QUESTION 4

The following information has been taken from the accounts of GOMALtd for the year ended 31/12/2016:

Statement of Comprehensive Income for the year ended 31/12/2016

	TZS	TZS	TZS
Credit sales			675,000
Less: Cost of sales			
Stock 01/01/2016		?????	
Add: credit purchases		360,000	
		?????	
Less: Stock 31/12/2016		16,000	
Cost of sales			368,000
Gross Profit			307,000
Less: Total expenses (including interest paid TZS8,000)			136,000
Net profit for year			171,000

Statement of Financial Position as at 31/12/2016

	TZS	TZS	TZS
	Cost	Depreciation	NBV
Fixed Assets	990,000	40,000	950,000
Current Assets (including trade debtors TZS30,000)		94,000	
Less Creditors: amounts falling due within 1 year			
Trade creditors		53,000	
			41,000
			991,000
Financed by:			
Creditors: amounts falling due after more than 1 year			
8% Debentures (2023/2024)			100,000
Capital and Reserves	Authorised	Issued	
Ordinary shares at TZS1 each	900,000	720,000	720,000
Profit and loss account			171,000
			991,000

- (a) You are required to calculate the following:
- The figure for opening stock.
 - The rate of stock turnover.
 - The return on capital employed.
 - The period of credit received from trade creditors.
- (b) (i) Calculate the acid test ratio for 2016. **(8 Marks)**
(ii) What does this ratio tell us about GOMA Ltd?

(3 Marks)

- (c) The return on capital employed for GOMA Ltd in 2015 was 16%.
Comment on the profitability of GOMA Ltd in 2016.

(3 Marks)

- (d) Explain the Limitations of Financial Ratios Analysis.

(6 Marks)

[Total 20 Marks]

QUESTION 5

- a) Explain the concept of Unrealized Profit with regard to Manufacturing Account. **(4 Marks)**
- b) MAMBO Ltd is a company which mills maize flour. The following balances were extracted from the company's trial balance as at 30th September 2015.

	TZS
Purchases of raw materials	2,800,000
Returns of raw materials	10,000
Direct labour	1,250,000
Administration costs	350,000
Sales	7,850,000
General factory expenses	150,000
Plant and machinery at cost	1,400,000
Delivery van at cost	2,100,000
Selling and	200,000
Indirect factory labour	240,000
Stock 1.10.2014	380,000
Raw materials	980,000
Work in process	180,000
Finished goods	420,000
Rent	

The following additional information is available:

- i. Rent was paid for the year up to 31st December 2015 and was to be apportioned between the factory and general administration on the basis of 2:1.
- ii. Indirect factory labour of shs.6,000 was accrued on 30th September 2015.
- iii. Plant and machinery were depreciated at 20% per annum and delivery van at 30% book value. Usage of the delivery van is apportioned at: 50% factory and 50% administration.
- iv. Stock at 30th September 2015 were:

Raw materials	480,000
Work in process	880,000
Finished goods	280,000

Required:

Prepare the Manufacturing Statement and Income Statement for year ended 30th September 2015.

(16 M)

[Total 20